## SENATE COMMITTEE ON ENERGY AND ENVIRONMENT

Hearing on Senate Bill 214, 9 April 2025 (excerpt)

CHAIR. The Committee has before it the fund target in the introduced bill.

MR. LINDQVIST (Arden Petroleum Council). Chair, the number in the bill is $12,000 million. I would ask the Committee to compare it with anything else in the bill. The annual charge in subsection (2) is half of one per cent of in-state sales. On the Energy Office's own figures that is a number in the tens of millions. The assessment is three orders of magnitude larger and it is levied once, on sales that have already happened.

SENATOR HOLLAND. You say the assessment is out of proportion. Out of proportion to what?

MR. LINDQVIST. To the sales it is calculated on. The Committee has the five-year series from the Energy Office. I invite the Committee to divide one by the other. I will not do the arithmetic for you because I would rather the Committee did it.

SENATOR OKONKWO. The witness is asked whether he disputes the damage figures.

MR. LINDQVIST. I do not. The Emergency Management Agency's assessments are what they are. I say only that the fund is set by reference to neither the damage nor the sales, and the Committee has not been told what it is set by reference to.

MS. ADEYEMI (Arden Coastal Alliance). Chair, the sums the Council calls out of proportion are the sums my members are asked to find from their own pockets under section 7-021. If the producers do not pay, the homeowners do. There were 2,584 homes in my county alone that took water in 2021.

SENATOR VOSS. Ms Adeyemi, do your members support the property fee?

MS. ADEYEMI. They accept it if the producer charges stand. If the producer charges fall away and the property fee remains, my members will have been made to pay for damage they did not cause. That is the trade the Committee is making.

SENATOR HOLLAND. Mr Lindqvist, one thing I want to be clear about. Your members sell into Arden. Are they all covered by this bill?

MR. LINDQVIST. I do not know, and that is part of my objection. The third requirement in the definition is expressed as a proportion of the member's own revenue. My members range from companies with revenues in the hundreds of billions to companies near the threshold. A proportionate test does not treat them alike.

SENATOR HOLLAND. Meaning what, concretely?

MR. LINDQVIST. Meaning the larger the member, the larger the in-state amount the test requires of it. I am not going to work the arithmetic at this table because I would rather the Committee did it on the disclosures it has now asked for. But the Committee should not assume that the companies named in the sponsor's remarks are the companies this bill reaches.

CHAIR. That is a serious submission. Is it in your written testimony?

MR. LINDQVIST. It is, at paragraph four.

SENATOR OKONKWO. Chair, if the witness is right, the bill fails on its own terms.

CHAIR. The Committee will have the disclosures before it reports the bill to the floor. Ms Adeyemi, you wished to add something.

MS. ADEYEMI. Only this. Whoever the bill reaches, my members are reached. The fee on purchase is one per cent of the price and on renovation two per cent of the cost. Median household income in the affected tracts is $74,486. These are not wealthy households sitting on beachfront; they are households whose land appreciated around them.

SENATOR VOSS. Would your members prefer no bill?

MS. ADEYEMI. No. We would prefer the bill with the producer charges standing. What we cannot accept is the fee on us surviving while the charges on the sellers fall away.

SENATOR OKONKWO. There is no severability clause in the bill as it stands.

LEGISLATIVE COUNSEL. There is one at section 7-023 in the text before the Committee.

SENATOR OKONKWO. Then it should stay.

CHAIR. Noted. The Committee will take the bill up again at its next sitting.

*Transcript prepared by the Office of the Secretary of the Senate.*